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Giga-Byte Technology Co. Ltd. | Asia Pacific

OpM slightly below MSe but above the Street

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

2Q26 result summary:

- GM was 9.6% (-240bps q/q, +20bps y/y), 60bps below MSe and 60bps below the Street. Sequential GM decline was driven by mix change; a higher mix of NVL72 racks helped drive revenue to grow 37% q/q.
- OpM was 5.6% (-140bps q/q, +50bps y/y), 50bps below MSe but 20bps above the Street; OP was NT\$8.1B (+10% q/q, +53% y/y), 8% below MSe but 16% above the Street.
- Non-op income was higher at ~NT\$1.3B mainly due to FX gains.
- Net profit was NT\$6.6B (+26% q/q, +117% y/y) for EPS of NT\$9.88, 13% above MSe and 30% above the Street.

Giga-Byte also announced a new share issuance of 40-50M common shares for its GDR issuance, implying 6.9% dilution, at most. The raised capital will be used for procurement of key components in foreign currency.

Stay EW: Giga-Byte's inventory continues to climb in 2Q (+28% q/q), which we think implies Giga-Byte expects top-line momentum to grow stronger in 2H vs 1H. Nebius is a key customer for Giga-Byte and our checks indicate that Giga-Byte is supplying a combination of AI servers and general servers to Nebius. We think valuation looks fair at ~12x vs its 5Y historical trading range of ~12x, so we stay EW.

Exhibit 1: 2Q26 results summary table

NT\$m	2Q26 Results						
	Actual	QoQ	YoY	MS Est.	Variance	Cons	Variance
Net sales	144,213	37%	41%	144,214	0%	129,207	12%
COGS	-130,340	41%	41%	-129,356	1%	-115,987	12%
Gross profit	13,873	10%	44%	14,858	-7%	13,220	5%
Operating expenses	-5,753	11%	33%	-6,061	-5%	-6,205	-7%
Operating income	8,120	10%	53%	8,797	-8%	7,015	16%
Non-operating income	1,330	NM	NM	105	1168%	31	4137%
Pre-tax income	9,451	34%	115%	8,902	6%	7,046	34%
Income tax	-1,986	41%	92%	-2,671		-1,940	
Net income	6,616	26%	117%	5,855	13%	5,106	30%
EPS (NT\$)	9.88	26%	117%	8.74	13%	7.62	30%
Margins (%)		ppt	ppt		ppt		ppt
Gross margin	9.6%	-2.4	0.2	10.3%	-0.7	10.2%	-0.6
Operating margin	5.6%	-1.4	0.5	6.1%	-0.5	5.4%	0.2
Pre-tax margin	6.6%	-0.2	2.2	6.2%	0.4	5.5%	1.1
Net margin	4.6%	-0.4	1.6	4.1%	0.5	4.0%	0.6

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

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Asia Summer School 2026

Giga-Byte Technology Co. Ltd. (2376.TW, 2376 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Equal-weight
Industry View	In-Line
Price target	NT\$405.00
Up/downside to price target (%)	2
Shr price, close (Aug 14, 2026)	NT\$397.50
52-Week Range	NT\$402.00-206.50
Sh out, dil, curr (mn)	635
Mkt cap, curr (mn)	NT\$252,297
EV, curr (mn)	NT\$242,898
Avg daily trading value (mn)	NT\$2,154

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	18.20	33.82	34.37	35.08
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	18.98	29.83	32.91	34.32
Revenue, net (NT\$ mn)	336,937	521,929	622,997	771,910
EBITDA (NT\$ mn)	17,674	32,072	31,765	32,388
ModelWare net inc (NT\$ mn)	12,190	22,653	23,024	23,498
P/E	13.7	11.8	11.6	11.3
P/BV	2.7	3.6	3.4	3.2
ROE (%)	22.1	37.0	31.0	29.9
EV/EBITDA	8.9	8.3	8.7	9.1
Div yld (%)	4.3	3.8	7.0	7.1
Leverage (EOP) (%)	(15.4)	19.8	32.2	52.3

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Giga-Byte Technology Co. Ltd. (2376.TW)

Base case, multistage residual income valuation model. Key assumptions: cost of equity 7.3% (risk-free rate 1%, equity risk premium 6.0% and beta of 1.0), medium-term growth rate 6%, terminal growth rate 3%.

Risks to Upside

- Better-than-expected GPU demand
- Better-than-expected gaming motherboard demand
- Better-than-expected server demand from Tier 2/Tier 3 cloud customers
- Faster-than-expected AI server penetration rate

Risks to Downside

- Weaker-than-expected GPU demand
- Weaker-than-expected gaming motherboard demand
- Weaker-than-expected server demand from Tier 2/Tier 3 cloud customers
- Slower-than-expected AI server penetration rate

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Giga-Byte Technology Co. Ltd. (2376.TW) - As of 08/16/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 12/15/22 : O/I; 11/16/25 : E/I

Price Target History: 12/15/22 : 130; 3/9/23 : 138; 5/16/23 : 158; 7/12/23 : 315; 8/10/23 : 340; 10/17/23 : 360; 11/6/23 : 320; 3/15/24 : 308; 4/10/24 : 400; 5/8/24 : 450; 8/14/24 : 388; 3/17/25 : 350; 4/23/25 : 255; 5/15/25 : 350; 9/25/25 : 370; 11/16/25 : 290; 4/17/26 : 295; 5/18/26 : 375; 8/10/26 : 405

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/14/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$42.90
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb191.52
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.68
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.77
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.47
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb448.08
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$615.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb21.88
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.64
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.88
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,610.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.69
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.41
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$60.40
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb56.58
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.27
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.88
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb60.69
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$38.26
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb55.02
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$58.75
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb267.71
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.46
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$25.62

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb355.18
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$132.20
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb106.08
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.62
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb943.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$25.02
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb35.05
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,300.00
Advantech (2395.TW)	O (01/20/2021)	NT\$683.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,460.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,235.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$25.80
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,010.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,200.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.81
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,000.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,300.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,885.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$165.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$56.90
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,805.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$373.50
Innolux (3481.TW)	E (04/07/2025)	NT\$50.10
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$12,500.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.74
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$267.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.14
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.62
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb223.44
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$32.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$996.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$204.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$43.20
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.28
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb66.19
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$397.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,015.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$259.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb78.80
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,540.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$33.60
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,720.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,305.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$94.80
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$327.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.21
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb378.00
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,020.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$379.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$193.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,435.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$622.00
Zhen Ding (4958.TW)	++	NT\$489.50

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